

too good to be true; that I could just print out coupon after coupon with my printer. It soon was. The first wave of counterfeit IP coupons hit stores in Southeast United States in late 2002 through 2003. It got so bad that, by August of 2003, major newspapers were reporting that many grocers had stopped taking the coupons downloaded from the Internet.

The Georgia Food Industry Association reported that the counterfeiting was the biggest coupon scam to hit Georgia in more than fourteen years. The coupons that began as a legitimate offer were reproduced with altered discounts and expiration dates, and were distributed via the Internet. Most were for free items, with altered bar codes realistic enough to fool even the store scanners.

Auction web sites such as Yahoo and eBay were at least partially responsible for the rise in counterfeit coupon use because they allowed auctions of large groups of coupons as well as auction listings of Internet coupons. In an August 2003 letter that was sent to both auction sites, the Grocery Manufacturers of America and the Food Marketing Institute requested the ban of all coupon auctions. While it is difficult to ascertain exact amounts, in the letter the two industry groups cited estimates of between five hundred and eight hundred million dollars in lost revenue from counterfeit coupons. Yahoo responded by banning all sales of coupons in October 2003. On the other hand, eBay only banned auctions of electronic and bulk coupons. By March of 2004, they had also banned bulk sales of more than twenty coupons for one product or one hundred mixed coupons. They limited the sale of “free product” and home-printed Internet coupons to two per listing. An individual was also designated by eBay in its